

been no clear indication from the government that there will be a FAME III. But a top government official tells *BT*, on the condition of anonymity, that the government is indeed considering extending the scheme beyond 2024, but alternative approaches are also being explored to ensure the benefits continue. Another official adds that the MHI has sought inputs from stakeholders, and a proposal is expected to be submitted to the Prime Minister's Office soon. For the policy, the government is looking at strategies employed by other countries to promote electric mobility, lessons learnt from FAME I and II, and India's aim of achieving 30 per cent EV penetration by 2030.

Sulajja Firodia Motwani, Chair of FICCI's Electric Vehicle Committee and Founder and CEO of Kinetic Green Energy and Power Solutions Limited, says the dialogue between government and industry on FAME III is underway. Besides, the industry has recommended that the government could also look at a broad-based production-linked incentive (PLI) scheme for EVs because the earlier one attracted investments from only a handful of OEMs. "Measures like reduction in GST on EV batteries from the current 18 per cent to 5 per cent will free up more capital for businesses. It should also be given priority sector status for lending and the World Bank's support must be sought to ensure more funds for EVs," she says.

Not everybody in the EV industry is surprised by the government's reticence to commit to extending the scheme. Pankaj Sharma, Co-founder and Director of Log9 Materials, a deep tech start-up that just inaugurated one of India's first battery cell manufacturing lines for EVs, says, "Incentives such as FAME are temporary [measures] to get the industry started. The purpose was



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Rajesh Menon
DIRECTOR GENERAL,
SIAM



"Industry feels it was premature to withdraw [the subsidy]... [it] must be continued at least for three more years"

Sohinder Gill
DIRECTOR GENERAL
OF SOCIETY OF
MANUFACTURING OF
ELECTRIC VEHICLES (SMEV)

to initiate early adoption of EVs to bring the upfront cost of EVs down, which was achieved during the initial period of the scheme. The reason FAME might be scrapped now [is] because it was being bypassed by many Indian EV players."

Sharma says some firms were not making 60 per cent of the vehicle parts in India, a condition in the scheme. "Over the past few years, the government had to penalise multiple original equipment manufacturers (OEMs) for breaching clauses of the FAME scheme." He believes, though, that the EV industry will not be majorly impacted if the subsidy ends. "We will see price correction and the focus will be on improved product development," he adds.

One visible change that the uncertainty over the subsidy could spark is consolidation in the industry. The Indian industry is currently seeing many new entrants, and there are now over 350 players who assemble vehicles using imported components and sell them at a lower price than locally-produced vehicles. These companies may find it tough to survive now with the subsidies ending. Such firms could find the post-subsidy regime hard to navigate. Clearly, this is still an industry in flux.

Rajesh Menon, Director General of the Society of Indian Automobile Manufacturers, says the FAME scheme not only helped increase EV penetration but also, importantly, created an ecosystem that helped the industry thrive. "Continuation of such an incentive-based policy is important till the market matures."

The test of maturity could well turn out to be the monthly sales numbers for July that could reveal if the dip in June was a one-off or if there is indeed something to worry about. **BT**

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